



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2025-26
MONDAY TEST

CLASS: X
SUBJECT: COMMERCIAL STUDIES

FULL MARKS: 40
DATE: 21/07/2025

Instructions:

- Attempt all questions.
- The intended marks for questions or parts of questions are given in brackets [].
- This question paper consists of *three* printed pages.
- You will not be allowed to write during the first 5 minutes. This time is to be spent in reading the Question Paper.
- All workings including rough work must be clearly shown in the same sheet as the rest of the answers.

SECTION A (20 MARKS)

Question 1

Choose the correct alternative for the following questions: [1x8=8]

a. "A startup used social media ads to promote awareness about climate change while selling organic products." What type of advertising is this?

- | | |
|------------------------------|-----------------------|
| i) Social advertising | iii) Personal selling |
| ii) Only product advertising | iv) Price discounting |

b. Assertion (A): Pricing of a product is decided without considering competition.

Reason (R): Pricing objectives include profit maximization and market penetration.

- i) A is true, and R is the correct explanation of A.
- ii) A is true, but R is not the correct explanation of A.
- iii) A is true, but R is false.
- iv) A is false, but R is true.

c. A business story revealed how a restaurant's word-of-mouth buzz on social media doubled footfall without spending on ads. This highlights the difference between:

- | | |
|---------------------------------|--------------------------------|
| i) Marketing and production | iii) Advertising and publicity |
| ii) Employer and employee roles | iv) Sales and HR policies |

d. A demerit of advertising is:

- | | |
|-----------------------|-------------------------------------|
| i) It is inexpensive | iii) It might mislead consumers |
| ii) It builds loyalty | iv) It promotes government policies |

e. A key function of an advertising agency is:

- | | |
|--------------------------------|----------------------------------|
| i) Lending money | iii) Providing legal advice |
| ii) Conducting market research | iv) Monitoring supply chain only |

f. An example of social advertising media:

- | | |
|----------------------------------|---------------------------------------|
| i) Billboard ad for a smartphone | iii) Advertisement on smoking dangers |
| ii) Paid celebrity endorsement | iv) Price discount campaign |

g.



What stakeholder expectation is likely being violated in the image?

- i) Government regulation
- ii) Employee
- iii) Community
- iv) Supplier

h. Which of the following is NOT an objective of pricing?

- i) Target rate of return
- ii) Market share
- iii) Price stability
- iv) Product differentiation

Question 2

[2x6=12]

a. Arjun, a factory owner, reduces his carbon emissions due to public protests.

Identify the stakeholder that influenced his decision and state one of its expectations.

b. A courier company launches an app that tracks parcels in real-time.

Compare how service differs from a product in terms of Customization and Sensitivity to time?

c. "Village people block entry of a mining firm citing land degradation." - What stakeholder is in conflict with the organization and why?

d. What is meant by social advertising media?

e. "Flipkart offers midnight flash sales with instant coupons." - Is this advertising or sales promotion? Justify your answer.

f. Enlist the placement of carriage inward and return outward in the final account of a sole proprietor.

SECTION B (20 MARKS)

Answer all the questions

[5+5=10]

Question 3

a. In what ways can excessive advertising influence consumerism and materialistic values in a society?

b. Rahul just started a business that makes environment friendly packaging. He used a sizeable sales force and made significant advertising investments to promote his goods to retailers. The client retention percentage was low, nevertheless, and many customers expressed unhappiness with the product's usage despite strong sales efforts. Before promoting the product, his friend Meera, who has experience in marketing, advised him to reconsider his strategy and have a deeper understanding of the needs of the consumer.

Examine Rahul's strategy, which has a selling orientation, and Meera's counsel, which is consistent with marketing concepts. In light of this situation, make five distinctions between these concepts.

Question 4

[10]

From the following Trial Balance, prepare Trading and Profit and Loss account for the year ended 31st March, 2022, and Balance Sheet as at that date:

Account Title	Debit (₹)	Credit (₹)
Cash	5,000	
Bills Receivable	4,000	
Opening Stock	3,500	
Commission	1,200	
Office Expenses	700	
Land	10,000	
Purchase	20,000	
Buildings	8,000	
Bills Payable		6,500
Sundry Creditors		10,000
Return outward		2,500
Discount Received		3,000
Sales		21,900
Reserve		5,000
Capital		9,500
Rent	1,000	
Salaries	2,200	
Carriage Inward	900	
Insurance	1,100	
Return inward	500	
Wages	300	
Totals	58,400	58,400

Closing Stock was valued at ₹ 15,000.